

Case Name: Metta Krach, an individual v. Teresa Holland, an individual et al.

Case No.: 26CV492728

Defendants Catalyst Family Office, LLC (Catalyst) and Teresa Holland (Holland) (collectively Defendants) move to compel arbitration of all claims asserted by Plaintiff Metta Grokenberger Krach (Plaintiff) and stay this action pending arbitration. Having considered the moving papers, opposition,¹ and supporting declarations and exhibits, the court will grant the motion to compel arbitration.

BACKGROUND

Keith Krach (Keith) retained myCFO, Inc. in or about February 2000 for financial management services, while married to his first wife. (See Complaint at ¶¶ 36, 37.) Keith's business relationship with myCFO continued after his divorce in 2004. (*Id.* at ¶ 38.) Part of myCFO, Inc. was later restructured as Harris myCFO, Inc. (Harris) which Keith retained from about 2002 to 2018. Defendant Holland was a director at Harris throughout this period. (*Id.* at ¶ 40.)

Keith married Plaintiff on January 1, 2009. (Complaint at ¶ 26.) Before marriage, Keith told Plaintiff about his prior engagement of myCFO/Harris and informed her that he intended to continue that relationship. (Declaration of Meta Grokenberger ["Grokenberger Decl."] at ¶ 5.) He asked Plaintiff if she would agree to have their family's finances managed by Harris. (*Ibid.*) Plaintiff agreed. (*Ibid.*) In or about January 2009, Keith advised Holland of his marriage to Plaintiff and provided a copy of their premarital agreement. (Declaration of Teresa Holland ["Holland Decl."] at ¶ 6.)

In March 2009, Keith and Plaintiff signed two agreements memorializing their engagement of Harris: (1) the Harris myCFO Professional Services Agreement (2009 PSA); and (2) the Harris myCFO Engagement Confirmation. (Grokenberger Decl. at ¶ 6.) The 2009 PSA

¹ Plaintiff's opposition is untimely, but the Court, nevertheless, in its discretion considers it. Defendants have still had opportunity to respond and prepare an adequate reply.

contained an arbitration provision under a bold and underlined heading titled “Arbitration of Disputes,” which governed disputes between Plaintiff, Keith, and Harris “arising out of this Agreement or our services.” (Holland Decl., Ex. B.)

In 2018-2019, certain employees of Harris, including Holland, left to form Catalyst. (Complaint at ¶ 47.) On April 14, 2019, Keith signed a Professional Services Agreement (2019 PSA) and Engagement Confirmation with Catalyst. (Holland Decl., Exs. C & D.) Holland countersigned on Catalyst’s behalf. Keith and Holland are the sole signatories; neither document contains a signature block for Plaintiff.

The 2019 PSA states it is “entered into by and between Catalyst Family Office” and “the individual[s] . . . whose signature(s) appear below.” (Holland Decl., Ex. C.) The 2019 PSA also includes an express disclaimer that “[n]either party intends for this Agreement to benefit any third party not expressly named in this Agreement.” (*Ibid.*) The 2019 PSA further includes an arbitration provision requiring the submission of “any claims or disputes between us and arising out of this Agreement or our services” to binding arbitration. (*Ibid.*)

The contemporaneous 2019 Engagement Confirmation expressly identifies “Metta G. Krach” and “Keith J. and Metta G. Krach” among the individuals on which Catalyst’s services would “focus.” (Holland Decl., Ex. D.) The 2019 Engagement Confirmation also includes a priority clause providing “to the extent the specific terms and conditions of the Professional Services Agreement are contrary to the express terms of this Engagement Confirmation with respect to fees and services, the express terms hereof shall have priority.” (*Ibid.*) The documents together state that they constitute “this Agreement” and represent “the entire agreement of the parties.” (Holland Decl., Ex. C.)

Plaintiff participated in and received Catalyst’s professional services throughout the 2019 to 2024 engagement period. The complaint alleges that she and Keith “jointly retained” Defendants and that she was owed a duty of care. (Complaint at ¶ 50.) Plaintiff filed suit on April 27, 2026 and asserts four causes of action for (1) breach of fiduciary duty; (2) professional negligence; (3) fraud; and (4) aiding and abetting breach of fiduciary duty. These claims arise from Defendants’ alleged conduct during the 2019 to 2024 engagement period.

REQUESTS FOR JUDICIAL NOTICE

Defendants' request for judicial notice of Plaintiff's complaint is GRANTED. (Evidence Code § 452, subd. (d).) Plaintiff's request for judicial notice of Exhibits C, D, and G, records derived from the California Secretary of State and United States Securities and Exchange Commission is GRANTED. (Evidence Code § 452, subd. (c).) However, Plaintiff's request for judicial notice of Exhibits A, B, E, and F is DENIED. "Simply because information is on the Internet does not mean that it is not reasonably subject to dispute." (*Huitt v. Southern California Gas Co.* (2010) 188 Cal.App.4th 1586, 1605, fn.10.) "Although it might be appropriate to take judicial notice of the existence of the Web sites, the same is not true for their factual content." (*Searless Minerals Operations, Inc. v. State Bd. Of Equalization* (2008) 160 Cal.App.4th 514, 519 [emphasis in original].) There is no " 'official Web site' provision for judicial notice in California." (*Jolley v. Chase Home Finance, LLC* (2013) 213 Cal.App.4th 872, 889.)

OBJECTIONS TO EVIDENCE

Consistent with the Court's ruling on the Request for Judicial Notice, Objection Nos. 1-4 to the Declaration of Michael Donner are SUSTAINED.

Objection Nos. 5, 6, and 7 are SUSTAINED as paragraph 9 of the Declaration of Metta Krach Grokenberger ("Grokenberger Declaration") contradicts the judicial admissions of paragraph 2, 5, 48, and 51 of the Complaint, contending that she and Keith jointly retained Catalyst. A judicial admission is a "waiver of proof of a fact by conceding its truth, and it has the effect of removing the matter from the issues." (*Valerio v. Andrew Youngquist Construction* (2022) 103 Cal.App.4th 1264, 1271 (*Valerio*).) "To be considered a binding judicial admission, the declaration or utterance must be one of fact and not legal conclusion, contention, or argument." (*Eisen v. Tavagarian* (2019) 36 Cal.App.5th 626, 637 (*Eisen*).) Plaintiff's allegations are that she and Keith retained Catalyst, that she was a joint client, and that Catalyst performed services jointly for Plaintiff and Keith. (Complaint at ¶¶ 2, 5, 48, 51.) Defendants' evidence further shows Plaintiff was copied on the e-mail confirming that Keith had signed the 2019 engagement documents. (Reply Index of Exhibits (IOE), Ex. 2.) Defendants' evidence

also shows Plaintiff had notice of the 2019 PSA based on her execution of the Professional Services Bank Authorization on December 27, 2019. (IOE, Ex. 3b.)

Objection Nos. 8, 9, and 10 are DISREGARDED as the Court has not considered those paragraphs of the Grokenberger Declaration.

Objection Nos. 11, 12, 13 are SUSTAINED. The Court is not required to search through or consider deposition testimony that is not highlighted or otherwise marked to call attention to the relevant testimony. (Cal. Rules of Court, r. 3.1116(c).)

Consistent with the Court's ruling on the Request for Judicial Notice, Objection Nos. 14, 15, 18, and 19 are SUSTAINED.

Consistent with the Court's ruling on the Request for Judicial Notice, Objection Nos. 16, 17, and 20 are OVERRULED.

LEGAL STANDARD

Code of Civil Procedure section 1281.2 provides: "On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement."

In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement's existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere, supra*, 87 Cal.App.5th at p. 755.)

ANALYSIS

The Court first considers whether the 2009 PSA is applicable and then proceeds to consider whether arbitration can be compelled pursuant to the 2019 PSA.

The 2009 PSA is Inapplicable

The 2009 PSA is signed by Plaintiff, Keith, and Harris but not Catalyst. (Holland Decl., Ex. B.) Defendants argue they may enforce the 2009 PSA because Catalyst is Harris' successor-in-interest and Holland is Harris' former agent. However, neither theory makes the 2009 PSA applicable.

A nonsignatory may enforce an arbitration agreement as a successor-in-interest only where the successor has assumed, by merger or acquisition, "all of the rights and obligations" of the original contracting party. (*Marenco v. DirectTV LLC* (2015) 233 Cal.App.4th 1409, 1418-1420.) That showing is absent here. Plaintiff's allegation that Harris is the predecessor firm to Catalyst is a legal conclusion not rooted in fact. (See *Eisen, supra*, 36 Cal.App.5th at p. 637.) Despite Plaintiff's allegations, Defendants have not demonstrated that Catalyst is in fact the successor-in-interest to Harris. Rather, employees including Holland, left Harris to form Catalyst. (Complaint at ¶ 47.) Defendants characterize Catalyst's formation as an "amicable and mutual separation from Harris", indicating that it still exists as a separate entity. (Motion to Compel Arbitration at p. 3:13-14.) The record does not show that Catalyst merged with, acquired, or assumed the rights and obligations of Harris. Harris is not named as a party in this lawsuit and any allegations against it are untenable in its absence. Defendants have not established that Catalyst stands in Harris' contractual shoes. Even so, Plaintiff concedes that her claims arise from Defendants' alleged conduct during the 2019 to 2024 engagement period and not from services Harris provided during the 2009 to 2018 period. In addition, Plaintiff sues Holland for the breach of fiduciary duty while she was a Catalyst partner and not during her tenure at Harris. For these reasons, the 2009 PSA does not apply.

Plaintiff is a Third-Party Beneficiary of the 2019 PSA

The 2019 PSA is executed between Keith and Holland on behalf of Catalyst. (Holland Decl., Ex. C.) Plaintiff is not a party to the agreement. "Because arbitration is a matter of contract, the basic rule is that one must be a party to an arbitration agreement to be bound it or

invoke it—with limited exceptions.” (*Soltero v. Precise Distribution, Inc.* (2024) 102 Cal.App.5th 887, 892-893.) “Whether an arbitration agreement is binding on a third party (e.g. a nonsignatory) is a question of law subject to de novo review.” (*Benaroya v. Willis* (2018) 23 Cal.App.5th 462, 468.) “There are circumstances in which nonsignatories to an agreement containing an arbitration clause can be compelled to arbitrate under that agreement. As one authority has stated, there are six theories by which a nonsignatory may be bound to arbitrate ‘(a) incorporation by reference; (b) assumption; (c) agency; (d) veil-piercing or alter ego; (e) estoppel; and (f) third party beneficiary.’” (*Id.* at p. 469 [citing *Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1513].) Defendants argue the doctrine of third party-beneficiary² binds Plaintiff to the 2019 PSA.

As an initial matter, the 2019 PSA provides “[n]either party intends for this Agreement to benefit any third party not expressly named in this Agreement.” (Holland Decl., Ex. C.) However, Plaintiff is an expressly named party in the 2019 Engagement Confirmation. The 2019 Engagement Confirmation provides that its services will focus on “Metta G. Krach” and “Keith J. and Mett G. Krach.” (*Id.*, Ex. D.) The 2019 PSA and 2019 Engagement Confirmation should be read together. “Several contracts relating to the same matters, between the same parties, and made as part of substantially one transaction, are to be taken together.” (Civ. Code § 1642.) Here, the two documents are executed by the same parties, on the same day, and concern the same subject matter: professional services to be provided by Catalyst.

The 2019 PSA explicitly references the 2019 Engagement Confirmation. To incorporate another agreement by reference, “the contract need not recite that it ‘incorporates’ another document, so long as it ‘guide[s] the reader to the incorporated document.’” (*Shaw v. Regents of University of California* (1997) 58 Cal.App.4th 44, 54.) Here, the 2019 PSA not only incorporates the 2019 Engagement Confirmation but provides “[t]his Agreement (*including any*

² Defendants also argue agency and equitable estoppel are independent grounds to bind Plaintiff to the 2019 PSA. However, the Court need not consider these bases as third-party beneficiary is enough to bind Plaintiff to the arbitration provision of the agreement.

Exhibits attached hereto *and the Engagement Confirmation*, as modified, amended or updated from time to time) is the entire agreement of the parties and supersedes all prior contemporaneous written or oral negotiations, correspondence, agreements, and understandings (including any and all preexisting professional services agreements, which are hereby cancelled), regarding the subject matter hereof.” (Holland Decl., Ex. C [emphasis added].) Thus, the 2019 Engagement Confirmation is part and parcel of the 2019 PSA.

The “Services” provision of the PSA further states “[a]s previously indicated, Catalyst Family Office is available to provide certain following services to you and the persons or entities you specify . . . The specific services you have engaged Catalyst Family Office to provide are identified on the Engagement Confirmation (as may be supplemented or updated from time to time.” (Holland Decl., Ex. C.) The evidence shows Plaintiff was aware of the existence of the 2019 PSA. Defendants attach an email from Keith to Holland with Plaintiff copied stating that he has signed the 2019 Retainer, with reference in the subject line to a Docusign for the engagement documents. Attached to this email is the 2019 Retainer listing Keith and Plaintiff as the “Individual/Family Entities.” The 2019 PSA was further drawn to Plaintiff’s attention through the Professional Services Bank Authorization she signed on December 27, 2019. That document provides “[t]his authorization is intended to supplement the services, terms, and conditions provided for in the existing Professional Services Agreement (the ‘Agreement’) and be deemed incorporated in full as an integral part of that Agreement. Unless otherwise expressly provided below, to the contrary, the terms and conditions set forth in the existing Agreement will continue to apply to the services, rights and obligations described therein.”³ Thus, Plaintiff had notice of the 2019 PSA. Even if Plaintiff was unaware of the existence of the 2019 PSA, she nevertheless accepted the services performed under it during the relevant time period. Plaintiff’s claims presume the existence of the 2019 PSA even if her claims ultimately sound in tort. “As

³ Although the general rule is that new evidence is not permitted with reply papers, Plaintiff’s evidence fills gaps in the evidence created by Plaintiff’s opposition. (*Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1538.) Defendant’s evidence further responds Plaintiff’s argument that she did not know the 2019 PSA existed.

settled case law recognizes, ‘a complaint sounding in tort will not in itself prevent arbitration if the underlying agreement embraces the disputed matter.’” (*Molecular Analytical Systems v. CIPHERGEN Biosystems, Inc.* (2010) 186 Cal.App.4th 696, 712, internal citation omitted.)

Plaintiff alleges that in 2019, she and Keith hired Catalyst and Holland “and commenced the Catalyst Engagement.” (Complaint at ¶ 50.) Plaintiff further alleges “[a]s part of the Catalyst Engagement, Catalyst performed professional services jointly for Metta and Keith (along with various trusts and entities they had formed) in exchange for the couple’s payment of fees to Catalyst. Catalyst’s services included expense management, financial reporting, income tax compliance, estate and trust planning review, and philanthropic services.” (*Id.* at ¶ 51.) As noted above, Plaintiff has judicially admitted that she jointly retained Catalyst with Keith. (*Valerio, supra*, 103 Cal.App.4th at p. 1271; *Eisen, supra*, 36 Cal.App.5th at p. 637.) Plaintiff alleges breach of fiduciary duty on the part of Catalyst. However, “before a person can be charged with a fiduciary obligation, he must either knowingly undertake to act on behalf and for the benefit of another, or must enter into a relationship which imposes that undertaking as a matter of law. [Citations,].” (*Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 187, 221.) The “Catalyst Engagement” and accompanying services could not have been performed without the 2019 Engagement Confirmation or 2019 PSA. Plaintiff’s claims in essence allege that Defendants negligently performed the services they were retained for. Thus, the causes of action are “intimately found in and intertwined” with the underlying contractual obligations. (*Boucher v. Alliance Title Co., Inc.* (2005) 127 Cal.App.4th 262, 271 [noting that “[b]y relying on contract terms in a claim against a nonsignatory defendant, even if not exclusively, a plaintiff may be equitably estopped from repudiating the clause contained in that agreement” and “[t]hat the claims are cast in tort rather than contract does not avoid the arbitration clause.”].) By receiving services performed for her benefit even if negligently rendered, Plaintiff cannot now disclaim application of the arbitration provision in the 2019 PSA.

Defendants have presented a valid agreement to arbitrate that covers the scope of Plaintiff’s claims. For these reasons, the Court GRANTS the motion to compel arbitration

pursuant to the 2019 PSA. This action is STAYED in its entirety pending the outcome of arbitration. (Code Civ. Proc. § 1281.4; 9 U.S.C. § 3.)

CONCLUSION

The motion to compel arbitration is GRANTED. This action is STAYED in its entirety pending the outcome of arbitration.

The Court will prepare the order.